The $368M Software Business the Market Prices at 8×

Itron is classified as a hardware company, but a 20% growth software business inside it is priced at ~8× ARR — below every reasonable comparable.



PRIMARY SOURCE ARBITRAGE

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Itron is reported as a hardware company. Within that sits an Outcomes segment generating ~$360M of recurring revenue, growing 22% YoY in Q4 2025 at 41.7% adjusted gross margins.

A newly formed Resiliency Solutions segment (Urbint and Locusview) generated 76% adjusted gross margins in its first partial quarter.

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The market prices the combined software layer at ~8× ARR — below every reasonable software comparable.

The ARR Metric

Itron introduced annual recurring revenue (ARR) as a primary key operating metric for the first time in its FY2025 10-K, a metric that did not exist in prior filings. Joan Hooper, CFO, verbatim, Q4 FY2025 earnings call, February 17, 2026: *"As our business continues to evolve, we*

are introducing a new metric of annual recurring revenue, or ARR. For 2025, we ended the year with approximately $368 million of ARR."

Tom Deitrich, CEO, confirmed the growth rate on the same call: *"$368 million of ARR at the end of Q4, that's up 20% year-over-year from the end of 2024."*

Hooper on 2026 expectations: *"I would expect we would still see kind of mid-teens to maybe up to 20% growth."*

ARR growth for 2026 includes Urbint and Locusview. Organic ARR is not separately disclosed. Framing this as acquisition risk misses the structure: Urbint and Locusview each had tens of customers at acquisition. Itron has 8,000. Deitrich verbatim: "*We clearly have the ability with the sales reach that we have to move those solutions into a broader landscape."* The acquisitions add software that can be cross-sold into Itron's 8,000-customer base at minimal incremental cost.

The Mispricing

As of 18th March, Itron trades at $91.79USD. With 44.94M diluted shares and pro forma net debt of $970M post-Locusview acquisition close, the implied enterprise value is approximately $5.1B.

Applying 1.0× EV/revenue to the hardware segments, consistent with Landis+Gyr's continuing business multiple on disclosed figures:

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Segment	FY2025 Revenue ($M)	Multiple	Implied Value ($M)	Notes
Device Solutions	447	1.0x EV/Revenue	447	Source: ITRI FY2025 10-K
Networked Solutions	1,557	1.0x EV/Revenue	1,557	Source: ITRI FY2025 10-K
Hardware Total	2,004	—	2,004	
Residual (Software)	—	—	3,096	EV $5,100M minus hardware $2,004M
Annual Recurring Revenue (ARR)	368	Implied EV/ARR: 8.4x	—	Source: Hooper verbatim, Q4 FY2025 earnings call

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Residual enterprise value attributable to software: $5,100M - $2,004M = **$3,096M**

Implied EV/ARR: $3,096M ÷ $368M = **8.4×**

Varying the hardware multiple between 0.8× and 1.2× implies a software multiple of 7×–10×. Across this range, the implied software multiple remains below every reasonable comparable.

For context: Samsara, a connected infrastructure software business, trades above 15× EV/ARR at slower growth. Veeva Systems reached approximately 35× during its category recognition phase. Even applying the most generous hardware valuation, Itron's software layer trades at a 50%+ discount to the least expensive direct comparable.

Why the Mispricing Exists

Three structural reasons explain the gap.

Metric transition lag: ARR replaced endpoints under management as Itron's primary key operating metric for the first time in the FY2025 10-K. Most analyst models were built before this occurred. Eleven analysts cover the stock. None has published a sum-of-the-parts separating hardware from software because the recurring revenue framework did not exist in prior filings. Models are adjusted incrementally rather than rebuilt, allowing the misclassification to persist.

Resiliency Solutions is brand new: The Resiliency segment did not exist until November 2025. It contributed $3M of revenue in its first partial quarter at 76% adjusted gross margins. Hooper verbatim: "Resiliency Solutions is expected to be immediately accretive to Itron's revenue growth, gross margins, and EBITDA." With $65-70M of revenue guided for FY2026 at approximately 70% gross margins, this segment alone would command a significant multiple as a standalone software business. It currently receives zero separate recognition in any street model.

Analyst Incentives: Analysts are disincentivized from publishing targets materially above consensus, anchoring valuation to the blended hardware multiple. The Investor Day is the forcing function: a public reset of long-term targets that requires all analysts to update.

The Catalyst

Deitrich, verbatim, Q4 FY2025 earnings call: *"It's just because we have achieved most of that 2027 model by the time we got to the end of 2025, we think it's appropriate to reset long-term targets with an Investor Day. We haven't really picked a date yet, but I would suspect sometime in the next year or so we will set up that and set out some new longer-term targets."*

FY2027 targets, including gross margin, EBITDA, and free cash flow, were all achieved two years early.

Prior Investor Day pattern: announced March 6, 2024, held March 12, 2024 — six days between announcement and event.

With approximately 1.8M shares of effective float at roughly 96% institutional ownership, a single growth fund initiating a 1% position consumes approximately 25% of available float. The re-rating does not happen gradually.

Additional structural evidence: Outcomes backlog above $1B, up 58% year-over-year. Pipeline up 27% year-over-year. Distributed intelligence endpoints up 25% year-over-year. Apps up 70% year-over-year. These are not projections; they are confirmed Q4 2025 figures from the earnings call.

Itron has beaten consensus EPS estimates in each of the last four quarters by 15.41%, 21.62%, 4.32%, and 12.45%, respectively.

Non-Discretionary Demand

Unlike horizontal software businesses, which are exposed to enterprise budget cuts, Itron's demand is structurally regulated. Germany has mandated 25 million smart meter installations under the “Act on Metering Point Operation and Data Communication in Smart Energy Networks” running through 2025-2030. The UK Smart Metering Implementation Programme creates regulated utility procurement accruing directly to Itron's installed base. These are not discretionary IT decisions; they are legal obligations with regulatory deadlines.

Deitrich verbatim: *“Grid scaling and transformation is structurally unavoidable and cannot happen without greater intelligence.”*

This is what separates this from a typical software re-rating story. The revenue growth is not contingent on sales execution against discretionary budgets.

The Path Without the Catalyst

If the Investor Day does not occur, a second path remains. At ~18% ARR growth, ARR reaches ~$434M by 2026. As ARR becomes the dominant metric, valuation should converge toward software comparables over time.

What Breaks the Thesis

Three conditions would change my view.

1. ARR growth <15% for two consecutive quarters
2. Net Debt / EBITDA >5.0×
3. Investor Day delayed beyond Q1 2027

The Setup

The market implies 8× EV/ARR on a 20% growth recurring revenue business. It has non-discretionary regulatory demand, a $1B+ Outcomes backlog growing 58% year-over-year, and a brand new 76% gross margin segment. The metric that makes the mispricing visible was introduced in the FY2025 10-K.

Disclosure: I hold a position in Itron. This material is for informational purposes only and does not constitute investment advice. All figures sourced from Itron FY2025 Annual Report on Form 10-K and Q4 FY2025 earnings call transcript, February 17, 2026.

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